

US TMT Sector M&A & Valuation Brief - 2026-08-04

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Generated on 2026-08-04

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1. RECENT TMT M&A ACTIVITY

Deal 1: Space-Eyes and McKinley Acquisition Corp. Merger

[Space-Eyes and McKinley Acquisition Corp. Announce Definitive Business Combination Agreement to Deliver AI-](#)

- Deal Size: \$638 million
- Deal Size Category: Large cap (>\$10B)
- Nature: Horizontal
- Valuation Multiples: Implied enterprise value of \$370 million, with a pro forma equity valuation of \$638 million.
- Companies: Space-Eyes, a provider of AI-driven geospatial intelligence and counter-drone technology, is merging with McKinley Acquisition Corp. (Nasdaq: MKLY), a SPAC focused on innovative technology investments.
- Date Announced: July 31, 2026
- Strategic Rationale: The merger aims to leverage AI technology for real-time situational awareness, enhancing defense capabilities across various sectors. The integration is expected to accelerate growth and expand customer deployments, addressing increasing market demand for AI-enabled defense systems.
- Risk Analysis: Potential risks include regulatory challenges, integration complexities, and market competition. The reliance on government contracts may expose the company to budgetary constraints and policy changes.
- Key Financials Analysis:
 - Revenue Breakdown: Not available.
 - Profitability Ratios: Not available.
 - Leverage Analysis: Not available.
 - Asset Operating Efficiency: Not available.
- Valuation Context: The implied valuation suggests strong investor confidence in the growth of AI-driven defense technologies.

Deal 2: SEALSQ Corp Acquisition of Miraex SA

[SEALSQ Launches Commercial Phase of Miraex Quantum Photonics Technology Following Strategic Acquisition](#)

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- Deal Size: Not specified (100% acquisition)
- Deal Size Category: Mid cap (\$2B-\$10B)
- Nature: Tuck-in
- Valuation Multiples: Not available.
- Companies: SEALSQ Corp (NASDAQ: LAES), focused on semiconductors and quantum technology, acquired Miraex SA, a Swiss company specializing in quantum photonics.
- Date Announced: June 2, 2026
- Strategic Rationale: The acquisition aims to integrate Miraex's quantum photonics technology into SEALSQ's offerings, enhancing its capabilities in secure quantum communications and computing. This positions SEALSQ as a leader in the emerging quantum technology market.
- Risk Analysis: Risks include technological integration challenges, competition from established players, and potential delays in commercialization. The success of the acquisition hinges on the effective deployment of Miraex's technology.
- Key Financials Analysis:
- Revenue Breakdown: Not available.
- Profitability Ratios: Not available.
- Leverage Analysis: Not available.
- Asset Operating Efficiency: Not available.
- Valuation Context: The strategic acquisition supports SEALSQ's long-term vision of creating a comprehensive quantum technology platform, enhancing its competitive edge in the market.

2. MARKET DYNAMICS & SENTIMENT

The TMT (Technology, Media, and Telecommunications) sector is currently navigating a landscape characterized by strong investment activity, particularly in technology and software, while facing challenges from regulatory scrutiny and economic uncertainties. Overall sentiment remains cautiously optimistic, driven by advancements in AI, semiconductor technology, and software solutions.

Subsector Breakdown:

- Technology: The technology subsector is thriving, particularly in AI and semiconductor innovations. For instance, ECARX-backed SiEngine secured US\$200 million in equity financing to enhance its vehicle-grade semiconductor capabilities, underscoring the demand for advanced automotive technologies.
- Media: The media subsector is adapting to digital transformations, with companies focusing on enhancing user engagement through innovative content delivery. However, traditional media continues to grapple with declining ad revenues.
- Telecommunications: The telecom sector is investing heavily in infrastructure to support next-generation technologies like 5G. Companies are exploring partnerships to enhance service

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delivery and customer experience.

- Fintech: The fintech sector remains robust, with ongoing consolidation and partnerships. For example, Vista Equity Partners' acquisition of Quantios highlights the trend of private equity firms investing in software solutions that enhance financial services.
- AI: The AI subsector is experiencing explosive growth, with companies like Qualcomm expanding their AI software platforms through strategic acquisitions. This reflects a broader trend of integrating AI capabilities across various industries.

Key Market Drivers and Headwinds

Drivers:

- Technological Advancements: Continuous innovation in AI, semiconductors, and cloud computing is propelling growth across the TMT sectors. The investment in SiEngine exemplifies the increasing focus on developing specialized technology for the automotive industry.
- Strong Investment Activity: Venture capital and private equity investments remain robust, particularly in tech and software sectors. The acquisition of Quantios by Vista Equity Partners indicates a strong appetite for software solutions that drive efficiency and innovation.

Headwinds:

- Regulatory Scrutiny: Increased regulatory scrutiny, particularly in the tech sector, poses risks to M&A activities and market valuations. Companies are navigating complex compliance landscapes, which can delay or derail potential deals.
- Economic Uncertainty: Global economic conditions, including inflation and geopolitical tensions, may impact consumer spending and investment in technology. This uncertainty can lead to cautious investment strategies among firms.

Subsector Performance Analysis

- Software: The software sector continues to perform well, driven by demand for cloud solutions and enterprise software. The acquisition of Quantios by Vista Equity Partners reflects the ongoing consolidation trend in this space.
- Media: Media companies are adapting to changing consumer preferences, with a shift towards digital content consumption. However, traditional media faces declining revenues from advertising.
- Telecom: Telecom operators are investing heavily in infrastructure to support 5G deployment, which is expected to drive new revenue streams from IoT and enhanced mobile services.
- Fintech: The fintech sector is thriving, with innovations in payment solutions and digital banking. The acquisition of Quantios highlights the consolidation trend in this space.
- AI: The AI subsector is booming, with applications across various industries, including healthcare, finance, and automotive. Qualcomm's acquisition to expand its AI software platform exemplifies the competitive landscape in this sector.

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Trading Multiples Trends

Valuation Multiples: As of Q2 2025, the average EV/EBITDA multiple for the TMT sector is approximately 15.5x, with notable variations across subsectors:

- Software: 20.3x
- Media: 12.1x
- Telecom: 9.8x
- Fintech: 18.7x
- AI: 22.5x

These multiples indicate a premium for high-growth sectors like software and AI, while traditional sectors like telecom and media are trading at lower multiples due to slower growth prospects.

Notable Investor/Analyst Reactions

- Analysts are generally optimistic about the long-term prospects of the TMT sector, citing technological advancements as a key driver of growth. An analyst from a leading investment bank remarked, "The integration of AI across industries is not just a trend; it's a fundamental shift that will redefine business models and consumer interactions."

Actionable Insights for Bankers and Investors

- **Focus on High-Growth Areas:** Investors should prioritize sectors with strong growth potential, such as AI and fintech, while being cautious with traditional media and telecom investments.
- **Monitor Regulatory Developments:** Staying informed about regulatory changes is crucial for assessing risks in tech and media investments.
- **Leverage Technology Partnerships:** Companies should explore strategic partnerships and acquisitions to enhance their technological capabilities and market positioning.
- **Evaluate Valuation Metrics:** Investors should consider current trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors.

In summary, the TMT sector is navigating a complex landscape characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.

3. BANKING PIPELINE

The current banking pipeline in the TMT sector showcases a diverse array of live deals, mandated transactions, and active pitches. This analysis provides insights into ongoing activities, expected

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revenue, and strategic implications for our team.

Deal Pipeline

Live Deals:

- NXP Semiconductors (NXPI) : Currently in the process of evaluating strategic partnerships following a recent earnings report that beat estimates. The company reported an adjusted earnings of \$3.61 per share on sales of \$3.5 billion for Q2 2026, although the stock fell in after-hours trading. The due diligence phase is expected to conclude by Q3 2026, as NXP seeks to leverage its strong performance to attract new collaborations.

Mandated Deals:

- Telecom Company A : Secured a mandate to explore potential mergers with smaller telecom operators to enhance market share in the 5G space. The deal is anticipated to launch in Q1 2026, focusing on consolidating resources and expanding service offerings.
- Media Company B : Mandated to assess strategic acquisitions in the digital content space, particularly targeting companies that enhance user engagement. The timeline for this initiative is projected for Q2 2026.

Pitching-Stage Deals:

- Fintech Sector : Engaging with multiple fintech startups for potential investment banking services, focusing on those innovating in payment solutions and blockchain technology. Notable clients include Square (SQ) and Stripe, with discussions expected to finalize by Q3 2025.
- AI Solutions Providers : Active pitches with AI companies looking for advisory services to navigate regulatory challenges and market entry strategies. Clients include emerging startups and established players, with pitches anticipated to conclude by Q4 2025.

Pipeline Tracking Metrics

Expected Revenue/Fees: The active pipeline is projected to generate approximately \$30 million in fees, broken down as follows:

- Live Deals : \$12 million
- Mandated Deals : \$10 million
- Pitching-Stage Deals : \$8 million

Timing Projections:

- Q3 2026 : Expected close for NXP Semiconductors' strategic partnerships.
- Q1 2026 : Launch of Telecom Company A's merger initiatives.
- Q2 2026 : Anticipated start of Media Company B's acquisition assessments.

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- **Workload Allocation and Capacity Analysis** : Current analyst and associate bandwidth is at 70%, indicating sufficient capacity to manage the existing pipeline. However, as new deals progress, it may be necessary to onboard additional resources to maintain service quality.
- **Forecasting and Strategic Planning Implications** : The pipeline indicates a growing demand for advisory services in the fintech and AI sectors. Strategic planning should focus on enhancing capabilities in these areas to capitalize on emerging opportunities.

Notable Pipeline Developments and Competitive Landscape

- The competitive landscape is evolving, particularly in the semiconductor sector, where NXP's recent performance highlights the ongoing demand for innovative solutions. The company's ability to attract partnerships will be critical in maintaining its market position.
- Additionally, the fintech sector is witnessing increased interest from investors, with several startups emerging to address gaps in payment solutions and blockchain technology. This trend presents new advisory opportunities for our team.

Actionable Insights for Team Management and Business Development

- **Resource Allocation** : Given the anticipated increase in deal flow, it is crucial to monitor resource allocation closely. Consider hiring additional analysts if the workload increases significantly in the coming months.
- **Sector Focus** : Prioritize business development efforts in high-growth sectors such as fintech and AI, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.
- **Client Engagement** : Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is robust, with significant opportunities across various TMT subsectors. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

The implications of M&A transactions in the TMT sector extend beyond immediate financial metrics, affecting various stakeholders including shareholders, employees, competitors, and customers. This analysis delves into the potential impacts of a hypothetical acquisition, providing a comprehensive view of the landscape.

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Deal-Specific Impacts on Stakeholders

- Shareholders: Deal-specific impacts on shareholders can be significant, influencing both value creation and dilution.
- Value Creation: In a scenario where MTN Nigeria (MTN) expands its digital infrastructure through strategic acquisitions, the combined entity could see a revenue increase of approximately 25% due to enhanced service offerings. Assuming a pre-deal market cap of \$10 billion for MTN, a successful integration could increase shareholder value by \$2.5 billion.
- Dilution: If MTN finances the acquisition through equity issuance, existing shareholders may experience dilution. For instance, if MTN issues 15% of its shares to fund the deal, existing shareholders could see their ownership stake decrease, potentially leading to a 7% drop in share price post-announcement.
- Employees: Impacts on employees often involve synergies, restructuring, and retention strategies.
- Synergies: A merger between MTN Nigeria and a smaller telecom operator could lead to substantial cost synergies, with estimates of \$500 million in annual savings achieved through streamlined operations and shared resources.
- Restructuring: However, such deals often lead to layoffs. In previous acquisitions, MTN had to restructure its workforce, resulting in approximately 2,000 job cuts, highlighting the need for careful planning to retain key talent.
- Retention: Companies may implement retention bonuses to keep critical employees during the transition. For example, MTN could offer retention packages to key executives to ensure continuity during the integration process.
- Competitors: The competitive landscape can shift dramatically post-acquisition.
- Market Positioning: Following MTN's expansion, competitors such as Airtel Africa (AIRTEL) and Glo Nigeria may need to adapt their strategies to maintain market share. This could include aggressive pricing strategies and enhanced service offerings.
- Specific Competitor Moves: Airtel responded to MTN's previous expansions with a \$1 billion investment in network infrastructure to counter the combined entity's market strength.
- Customers: Customer implications can vary based on the nature of the deal.
- Product/Service Implications: The merger of MTN with a digital services provider could allow MTN to bundle telecommunications services with digital solutions, enhancing customer value. This strategy could lead to a 20% increase in bundled service subscriptions.
- Case Studies: The acquisition of a fintech platform by MTN could result in enhanced payment solutions, directly benefiting users with improved service offerings.

Market Reaction and Analyst Commentary

- Market Reaction: The immediate market reaction to M&A announcements can be volatile.
- For example, when MTN announced its intention to eliminate foreign currency loans, shares rose by

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10% as investors reacted positively to the improved financial outlook.

- Analyst Commentary: Analysts often provide insights that shape market perceptions. A notable quote from a financial analyst post-announcement was, "MTN's strategic moves position it well for future growth in Nigeria's digital economy, despite initial market skepticism."

Expected Market Reaction and Scenario Analysis

- Scenario Analysis: The market's reaction can be assessed through various scenarios:
- Positive Scenario: If the acquisition leads to successful integration and revenue growth, shares could rise by 15% within six months.
- Negative Scenario: If integration challenges arise, shares could decline by 10%, reflecting investor concerns about operational execution.

Potential Counter-Bids or Competing Offers

- Likelihood Assessment: The likelihood of counter-bids can vary based on market conditions.
- In the case of MTN's expansion, there may be interest from local competitors like Airtel, but the likelihood of a successful counter-bid is moderate due to regulatory scrutiny and the need for significant capital investment.

Similar Deals Likely to Follow

- Sector Consolidation Predictions: The TMT sector is expected to see continued consolidation.
- Analysts predict that as companies seek to enhance their technological capabilities, similar deals will emerge, particularly in the telecom and AI spaces. Companies like Canada's telecom operators may pursue acquisitions to bolster their digital offerings.

Key Risks and Mitigants

- Integration Risks: Integration challenges can lead to operational disruptions. Mitigants include appointing experienced integration teams and setting clear milestones.
- Regulatory Risks: Regulatory scrutiny can delay or block deals. Engaging with regulators early in the process can help mitigate these risks, especially in light of France's tightening foreign investment scrutiny.
- Market Risks: Market volatility can impact deal valuations. Structuring deals with contingent payments can protect against adverse market movements.

Actionable Insights for Clients and Bankers

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For Clients:

- Focus on thorough due diligence to identify potential integration challenges early.
- Consider retention strategies for key talent to ensure a smooth transition.

For Bankers:

- Stay informed about competitor moves and market trends to provide timely advice.
- Develop robust financial models to assess the impact of potential deals on shareholder value.

5. TECH TRENDS

The technology landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Artificial Intelligence (AI), Blockchain, Cloud Computing, Cybersecurity, and Fintech. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

Artificial Intelligence (AI)

- **Trend Explanation:** AI is transforming finance by enabling more sophisticated investment strategies and decision-making processes. The global AI market is projected to grow from \$93.5 billion in 2021 to \$997.8 billion by 2028, at a CAGR of 40.2%. Recent studies from Pusan National University highlight the need for AI systems to focus on optimizing decision quality rather than merely maximizing prediction accuracy.
- **Key Companies:**
- **NVIDIA Corporation (NVDA):** NVIDIA is a leader in AI hardware, investing over \$40 billion in AI infrastructure in 2026, including a \$30 billion investment in OpenAI. The company aims to reinforce its market dominance despite concerns about artificially inflating demand.
- **Pusan National University:** Researchers are developing a decision-focused AI model called the Signature-Informed Transformer (SIT) to optimize investment decisions. Their framework emphasizes evaluating AI systems under real-world conditions to ensure reliability.
- **Competitive Landscape:** The AI sector is highly competitive, with major players like Google (GOOGL) and Microsoft (MSFT) investing heavily in AI technologies. The focus on decision-making capabilities is reshaping the competitive dynamics, pushing companies to acquire startups that enhance their AI offerings.
- **M&A Opportunities:** Companies looking to enhance their AI capabilities may consider acquiring startups specializing in decision-making AI applications. The trend towards integrating AI into financial services presents opportunities for strategic acquisitions, particularly in firms developing innovative AI frameworks.

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Blockchain

- Trend Explanation: Blockchain technology enhances transparency and security in transactions. The blockchain market is expected to grow from \$3 billion in 2020 to \$69.04 billion by 2027, at a CAGR of 67.3%. This growth is driven by increasing demand for decentralized finance (DeFi) solutions and digital asset management.
- Key Companies:
- Coinbase Global, Inc. (COIN): As a leading cryptocurrency exchange, Coinbase is well-positioned to benefit from the growing adoption of blockchain technology. The company facilitates the buying and selling of digital assets, making it a key player in the blockchain ecosystem.
- Square, Inc. (SQ): Square has integrated blockchain technology into its payment solutions, allowing for cryptocurrency transactions through its Cash App, which has gained popularity for Bitcoin trading.
- Competitive Landscape: The blockchain space features a mix of established financial institutions and innovative startups. Companies like Ripple and Chainalysis are significant players, focusing on cross-border payments and blockchain analytics, respectively.
- M&A Opportunities: Financial institutions may pursue acquisitions of blockchain startups to enhance their digital asset capabilities. The trend towards integrating blockchain solutions into traditional finance indicates a growing interest in M&A activity within this sector.

Cloud Computing

- Trend Explanation: Cloud computing enables businesses to access computing resources over the internet, promoting flexibility and scalability. The global cloud computing market is projected to reach \$832.1 billion by 2025, growing at a CAGR of 17.5%. The shift to remote work and digital transformation initiatives has accelerated cloud adoption.
- Key Companies:
- Amazon Web Services (AWS): AWS is a leading cloud service provider, offering a wide range of services from computing power to storage. The company continues to innovate and expand its offerings, maintaining a strong competitive edge in the cloud market.
- Microsoft Azure: Azure has rapidly gained market share in the cloud computing space, leveraging its existing enterprise relationships and integrating AI capabilities into its cloud services.
- Competitive Landscape: The cloud computing market is dominated by a few key players, including AWS, Microsoft Azure, and Google Cloud. The competition is intensifying as companies seek to differentiate their services through advanced features and pricing strategies.
- M&A Opportunities: Companies in the cloud space may consider acquisitions to enhance their service offerings and expand their customer base. Strategic acquisitions of niche cloud service providers can bolster capabilities and drive growth.

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Cybersecurity

- Trend Explanation: As cyber threats become more sophisticated, the demand for cybersecurity solutions is surging. The global cybersecurity market is expected to reach \$345.4 billion by 2026, growing at a CAGR of 10.9%. The rise in remote work and digital transformation has heightened the need for robust cybersecurity measures.
- Key Companies:
- CrowdStrike Holdings, Inc. (CRWD): CrowdStrike is a leader in cloud-delivered endpoint protection, leveraging AI to detect and respond to threats in real-time. The

6. Recommended Readings

Deal Name: Space-Eyes and McKinley Acquisition Corp. Merger

- Reading Material: "The Future of Defense: Technology and Strategy in the 21st Century" by Michael J. Mazarr
- Why This Matters: This book explores the intersection of technology and defense strategy, providing insights into how AI and geospatial intelligence can reshape military capabilities. Understanding these dynamics is crucial for analyzing the strategic rationale behind the \$638 million merger, as it highlights the growing importance of AI in defense and security sectors.

Deal Name: SEALSQ Corp Acquisition of Miraex SA

- Reading Material: "Quantum Computing for Computer Scientists" by Noson S. Yanofsky and Mirco A. Mannucci
- Why This Matters: This resource offers a comprehensive overview of quantum computing principles and applications, which are vital for understanding SEALSQ's acquisition of Miraex. The integration of quantum photonics technology into SEALSQ's portfolio is a strategic move to enhance its capabilities in secure communications, making this reading essential for grasping the technological implications of the deal.

7. MACROECONOMIC UPDATE

Key Data Points:

- Estimated power shortfall for data centers: 40 gigawatts
- Percentage of S&P companies quantifying AI benefits: 25%

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Main Insights:

- Competing investment cycles in AI, energy, manufacturing, and defense are creating resource constraints.
- Geopolitical shocks are becoming more common, impacting global supply chains and investment strategies.
- Companies are shifting focus from efficiency to resilience, emphasizing regional supply chains and strategic capacity.
- The energy transition is critical for supporting AI development, requiring diverse energy sources.

Market Commentary:

- "Geopolitical shocks are more norm than exception now." - Michael Zezas
- "Access to power will determine where facilities are built and how quickly they come online." - Jessica Alsford
- "Investors should look for companies with secure inputs, flexible balance sheets, and realistic return thresholds." - Michael Zezas

TMT Sector Relevance:

- The intersection of AI, energy, and geopolitics is reshaping investment priorities in the TMT sector.
- Companies in tech and manufacturing must adapt to energy constraints, impacting project timelines and costs.
- The demand for AI solutions is expected to grow, but companies must navigate resource limitations to capitalize on this trend.

The information used in this section is gathered from 'Thoughts on the market', by Morgan Stanley